

Oxford Cambridge and RSA

Predicted Paper 2 — Hard

A Level Economics

H460/02 Macroeconomics

Time allowed: 2 hours

You can use:

- a scientific or graphical calculator

Centre number		Candidate number	
First name(s)			
Last name			

INSTRUCTIONS

- Use black ink. You can use an HB pencil, but only for graphs and diagrams.
- Write your answer to each question in the space provided. If you need extra space use the lined pages at the end of this booklet. The question numbers must be clearly shown.
- Answer all the questions in Section A, one question in Section B and one question in Section C.

INFORMATION

- The total mark for this paper is 80.
- The marks for each question are shown in brackets [].
- Quality of extended response will be assessed in questions marked with an asterisk (*).
- This document has 20 pages.

ADVICE

- Read each question carefully before you start your answer.

Section A

Read the stimulus material and answer all the parts of Question 1.

The UK's post-pandemic economic challenges

The United Kingdom's economy has faced a series of supply-side and demand-side shocks since the Covid-19 pandemic. In 2022, the UK's inflation rate reached 11.1% — a 41-year high — driven by rising energy prices, disrupted supply chains and tight labour markets. Although inflation fell back to around 4.0% during 2024, real wages had fallen for much of this period as nominal wage growth failed to keep pace with rising prices.

The Bank of England responded by raising the Bank Rate from 0.1% in December 2021 to 5.25% in August 2023 — its highest level in over 15 years. This contractionary monetary stance has sharpened the trade-off between the objectives of controlling inflation and supporting output growth. In 2024, UK real GDP grew by just 0.9% and the current account deficit remained around 3.3% of GDP.

A continuing concern is the UK's weak productivity growth — often described as the 'productivity puzzle'. Fig. 1 shows the relationship between annual productivity growth and real wage growth for six OECD economies over the period 2019–2023.

Fig. 1

Average annual labour productivity growth and real wage growth, 2019–2023 (% per year)

Country	Labour productivity growth (%)	Real wage growth (%)
United Kingdom	0.4	−0.8
United States	1.5	0.6
Germany	0.2	−0.5
France	0.6	0.2
Japan	0.9	0.1
South Korea	2.1	1.8

The UK's fiscal position has also deteriorated. Government borrowing rose sharply during the pandemic, and public sector net debt reached 98% of GDP by 2024. The government's headline interest payments on debt more than doubled between 2021 and 2023, partly reflecting higher interest rates and the fact that about a quarter of UK government debt is index-linked. Table 1 shows government debt as a percentage of GDP and the ten-year government bond yield for six advanced economies in 2024.

Table 1

Government debt (% of GDP) and ten-year government bond yields (%), 2024

Country	Government debt (% of GDP)	10-year bond yield (%)
United Kingdom	98	4.2
United States	123	4.1
Germany	64	2.3
Japan	252	1.1
Italy	137	3.8
France	112	3.2

The UK's main trading partners include the European Union, the United States and China. Following Brexit, UK exporters to the EU have faced additional regulatory and customs costs. In 2024, the UK's export price index was 118.5 while its import price index was 125.0. Some economists argue that persistent supply-side weaknesses — low investment, skill shortages and regulatory friction — have reduced the UK's potential growth rate. Others highlight the role of demand management: reducing the budget deficit through tax rises and spending cuts may help control inflation but could tip the economy into recession.

1 (a) Using information from the stimulus material, identify two factors that may have caused the rise in the UK's inflation rate in 2022.

Factor 1

.....

Factor 2

.....

[2]

(b) Using information from the stimulus material, calculate to one decimal place the UK's terms of trade in 2024.

[1]

(c) Explain whether the relationship shown in Fig. 1 between labour productivity growth and real wage growth is the expected one.

[3]

(d) Using Table 1, explain the relationship between government debt (% of GDP) and 10-year government bond yields.

[4]

(e)* Using information from the stimulus material, evaluate whether the Bank of England's rise in interest rates is likely to reduce UK inflation without damaging economic growth.

[8]

(f)* Using information from the stimulus material, evaluate whether the UK government should prioritise reducing its budget deficit.

[12]

Section B

Answer Question 2 or Question 3.

2* In 2022, many developed economies including the United Kingdom experienced sharp appreciations in their currencies against some trading partners' currencies.

Evaluate, with the use of an appropriate diagram(s), whether an appreciation of a country's currency will benefit the economy.

[25]

OR

3* Cost-push and demand-pull inflation can have different effects on an economy.

Evaluate, with the use of an appropriate diagram(s), whether cost-push inflation is more harmful than demand-pull inflation.

[25]

Question No.



Section C

Answer Question 4 or Question 5.

4* Income inequality has widened in many developed economies over recent decades.

Evaluate whether progressive taxation is the most effective way to reduce income inequality.

[25]

OR

5* A number of European countries have chosen to adopt the euro as their national currency.

Evaluate whether a country is likely to benefit from joining a monetary union such as the eurozone.

[25]

Question No.

END OF QUESTION PAPER

EXTRA ANSWER SPACE

If you need extra space use these lined pages. You must write the question numbers clearly in the margin.